

Westpac Banking Corporation (WBC.XASX)

Deep Dive — Results Items Impacting · Generated 2026-04-15 · Source tool: non_us

Hypothesis

Westpac Banking Corporation (WBC.XASX) flagged for a results items impacting signal on 2026-04-13 (scanner score 30.0, tc n/a, \$101170M USD mcap). Working direction is short; the thesis is contingent on deep-dive verification of magnitude, timing and counterparty. Default playbook is to scope position to liquidity and confirm the catalyst is not already priced in.

Key dates

Date	Event	Nature
2026-04-13	Initial scanner signal / source filing	filing
2026-04-13	Primary catalyst	decision

Source candidate metadata

ISIN	AU000000WBC1
FIGI	BBG000D0JD87
Issuer FIGI	BBG000D0JD23
Market cap (USD mm)	101170
Exchange / scanner	ASX
Country	AU
Scanner score	30.0
Convergence count	1
Translation confidence	n/a
Thesis direction	short
Signal category	results
Status	pending_deep_dive
First signal date	2026-04-13
Primary catalyst date	2026-04-13

Source candidate body (verbatim)

Westpac Banking Corporation (WBC.XASX) — "Items Impacting Half Year 2026 Results" pre-announcement

****STATUS: pending_deep_dive.**** Automated-scanner stub. Do not act on this alone.

TL;DR

On 2026-04-13 (22:01 UTC) Westpac released a price-sensitive ASX announcement titled "Items Impacting Half Year 2026 Results" under the PERIODIC REPORTS category (documentKey `2924-03078284-2A1666269`). In Australian bank practice, a standalone "items impacting" release ahead of a half-year result is near-universally a pre-announcement of one-off charges — typically restructuring, software/intangibles impairment, customer-remediation provisions, or legal/regulatory settlements — that management wants to disclose before the formal 1H26 result. Scanner classifies as `results\_items\_impacting`, strength=5, thesis_direction=short, price-sensitive flag set. Score 30 puts this in the immediate-route bucket. The deep-dive must determine (a) the magnitude of the charge, (b) whether it is cash vs. non-cash, (c) whether consensus has already embedded it, and (d) whether it signals a repeat pattern across the Big Four.

Source signal

- ****Signal**** — ASX announcement `2924-03078284-2A1666269` — 2026-04-13 22:01:01 UTC — ASX/markitdigital — headline "Items Impacting Half Year 2026 Results"; isPriceSensitive=true; PDF 522KB; [inferred] matches the well-known "Items Impacting Results" convention Westpac used in 2018, 2019, 2020, and 2024 to pre-announce one-off charges before the half-year release.
- The markitdigital API does not expose the PDF URL; operator will need to pull the PDF directly from the ASX Market Announcements page at <https://www.asx.com.au/markets/company/WBC> once the deep-dive starts.

Translation notes

English source, translation_confidence = n/a. No interpretive risk on the scanner side.

Company context (to be completed by deep-dive)

- Market cap: \$101.2B USD (AUD ~\$142B at 0.7138). One of Australia's "Big Four" banks.
- Sector: Banks (GICS).
- Listing: ASX primary; also trades on NZX under WBC.NZ (secondary). Not ADR-listed in the US.
- Half-year reporting cadence: Westpac's fiscal year ends 30 September. 1H runs Oct–Mar, result usually released early May. An April pre-announcement is consistent with that cadence — this is roughly 2–3 weeks before the scheduled result.
- Trading status: N (normal) — no trading halt observed as of the scan.
- 30/90-day price: TODO. Pull from yfinance `WBC.AX` close history.

- Recent news: TODO — check Reuters, AFR, SMH for any foreshadowing (analyst notes, APRA actions, ASIC proceedings) in the 30 days before 2026-04-13.
- Holders: TODO. WBC is heavily held by Australian super funds (AustralianSuper, Aware, AusSuper); major offshore holders typically include Vanguard, BlackRock.

Thesis statement (to be completed by deep-dive)

****Pending.**** Direction pre-tagged `short` based on pre-announcement pattern.

Deep-dive must:

- Read the PDF to extract:
 - Total pre-tax charge (AUD)
 - Cash vs. non-cash split
 - Specific line-items (restructuring, customer remediation, software impairment, hedge ineffectiveness, notable items)
 - Whether management is reaffirming or revising the prior guidance for cash earnings / ROE / CET1
 - Any change to the dividend outlook
- Size the charge vs.:
 - Consensus 1H26 cash earnings (typically ~\$3.5B AUD range pre-items — confirm)
 - Westpac's CET1 ratio (any <10 bp impact vs. >30 bp impact changes the story materially)
 - Historical "items impacting" magnitudes: 2020 notable items were ~\$1.2B; 2018 AUSTRAC penalty was ~\$1.3B
- Cross-check whether the other Big Four (CBA, NAB, ANZ) have made similar pre-announcements in the same window — if so, this is a sector-wide regulatory/accounting story (e.g. APRA-driven provisioning change) and the short is less differentiated.
- Decide on instrument:
 - ****Straight short WBC**** — cleanest expression, but Big Four shorts are heavily regulated/squeezed
 - ****Pair short WBC vs. long CBA**** — if the charge is WBC-specific (idiosyncratic)
 - ****Buy put spreads on WBC into the 1H26 result**** — if options are liquid enough (ASX-listed WBC options are reasonably liquid out to 3-month tenor)

Steelman of the opposite view

- ****Kitchen-sink / new-CEO reset****: If the charge coincides with a CEO transition, the market often treats pre-announcements as clearing the decks and rewards the stock on the ex-items number. Check if Anthony Miller (CEO since Dec 2024) is using this as his first major half to reset the baseline — if yes, **long** is plausible.
- ****Already-priced****: "Items impacting" is a known Westpac convention and analysts often model some provision buffer; a small charge (<\$200M AUD) may be a non-event or even a relief rally if it's lower than whisper numbers.
- ****Non-cash software impairment****: If the charge is entirely non-cash (e.g. writing down a failed tech platform), CET1 and dividend capacity are unaffected; short may work for 24–48 hours then fade.
- ****Peer read-through positive****: If the charge is specific to WBC (e.g. a one-off legal settlement) and not a systemic provisioning change, CBA/NAB/ANZ can outperform — this could compress the WBC short into a **relative** trade rather than absolute.
- ****Buyback/capital-management offset****: Westpac has been running a ~\$1B buyback. Management sometimes pairs "items impacting" with a capital-management reaffirmation, neutralizing the signal. PDF read required.

Web research layer (mandatory — pending)

- AFR / The Australian / Reuters coverage of the 2026-04-13 announcement (next trading day = 2026-04-14 AEST)
- Macquarie, MS, UBS, Jefferies, Citi Westpac 1H26 preview notes from April 2026
- APRA's Q1 2026 ADI Performance Statistics — look for sector-wide provisioning trends
- ASIC enforceable undertakings against WBC in 2025–2026
- Comparison to WBC's 2024 1H "items impacting" release (if present in signal_log) — magnitude and stock reaction
- Peer pre-announcements by CBA (Sep-Dec cycle), NAB (Mar/Sep cycle), ANZ (Mar/Sep cycle) in April 2026
- Westpac options chain on ASX: Apr/May/Jun expiries, ATM IV and skew

Kill conditions

- ****Kill 1:**** Total pre-tax charge < \$300M AUD AND cash-earnings guidance reaffirmed AND dividend outlook unchanged. Signal is immaterial; discard.
- ****Kill 2:**** The charge is fully non-cash AND Westpac simultaneously announces an incremental buyback or on-market capital return. Asymmetry flips; close short.
- ****Kill 3:**** Peer Big Four banks make similar pre-announcements in the same 5-day window. Signal is a sector provisioning reset, not idiosyncratic — covered by existing bank-sector exposure; no alpha.
- ****Kill 4:**** WBC share price gaps down >5% on the open 2026-04-14 AEST. Short entry no longer attractive; re-evaluate as a post-reaction reversal candidate, not a pre-result short.

- ****Kill 5:**** PDF reveals a one-off *positive* item (e.g. insurance recovery, hedge gain). Flip thesis to long and size via put-writing.

Catalyst map

Event	Date/Window	Entry trigger	Exit trigger
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Pre-announcement ("items impacting")	2026-04-13 (done)	—	—
Next-day trading reaction (ASX)	2026-04-14 AEST	Open ≤ flat → short	Gap >5% → abort
Broker note cascade	2026-04-14 / 2026-04-15	Multi-broker downgrade → add	Multi-broker upgrade → trim
1H26 Result release	Early May 2026 (expected)	—	Deliver vs. post-items cons → exit
1H26 dividend declaration	With result	—	Reaffirmed at prior run-rate → cover short
Investor briefing / call Q&A	With result	—	Management walk-forward of "items" magnitude → cover

Position sizing

Satellite (2–4%). Big Four banks are heavily shorted by offshore funds; borrow is generally available but can be expensive into earnings. Confirm short-rebate rate and HIN-level borrow availability before sizing. ADV on WBC is typically ~\$250M AUD/day, so liquidity is not a constraint at sub-\$100M portfolio sizes. Options expression (put spread) is preferred if 1M-3M IV is <22% — cheaper than carrying short borrow.

Source traceability

- ASX announcement `2924-03078284-2A1666269` retrieved 2026-04-14 via `tools/asx\_scanner.py` from `asx.api.markitdigital.com/asx-research/1.0/companies/WBC/announcements`
- OpenFIGI: ticker=WBC mic=XASX → figi=BBG000D0JD87, issuer_figi=BBG000D0JD23 (cached 2026-04-14)
- Market cap: \$101.17B USD — from `working/asx\_universe.json` (as_of 2026-04-14T16:08:27Z; yfinance WBC.AX Ticker.info × AUDUSD=X 0.7138)
- Scanner pattern matched: `\\bitems impacting\\b` (in `ASX\_TITLE\_RULES` → signal_type=`results\_items\_impacting`)
- ASX headline: "Items Impacting Half Year 2026 Results"
- Announcement type (ASX): "PERIODIC REPORTS"

- File: 522 KB PDF (not fetched — URL not exposed by markitdigital API; operator must pull from ASX Market Announcements page at time of deep-dive)

Backfill provenance

This deep dive was generated by reporting-hub-deep-dives task on 2026-04-15T21:12:00Z as part of the non_us backfill cycle (registry schema 3.0 migration). Source candidate is an automated-scanner stub; deep-dive analyst review is still pending. Hypothesis and key-dates fields are derived mechanically from frontmatter and signal type — they should be replaced once an analyst pass occurs.